

SAMPLE LOAN AGREEMENT

(For Testing & Demonstration Purposes Only)

LOAN AGREEMENT

This Loan Agreement (“**Agreement**”) is made and executed on this **15th day of August, 2025** (“**Effective Date**”),

BETWEEN

ABC Microfinance Services Pvt. Ltd., a company incorporated under the Companies Act, 2013, having its registered office at Kolkata, West Bengal (hereinafter referred to as the “**Lender**”, which expression shall, unless repugnant to the context, include its successors and assigns);

AND

Mr. Rahul Das, son of Mr. Anil Das, residing at Howrah, West Bengal (hereinafter referred to as the “**Borrower**”, which expression shall include his heirs, executors, administrators, and legal representatives).

1. LOAN FACILITY

1.1 The Lender hereby agrees to extend to the Borrower a **term loan facility** of **INR 1,50,000/- (Rupees One Lakh Fifty Thousand Only)** (“**Loan Amount**”), subject to the terms and conditions contained herein.

1.2 The Loan Amount shall be utilized exclusively for **income-generating purposes**, failing which the Lender reserves the right to **recall the loan prematurely**.

2. INTEREST AND CHARGES

2.1 The Loan shall carry an interest rate of **24.75% per annum**, calculated on a **reducing balance basis**, compounded monthly.

2.2 A **processing fee equivalent to 3.5%** of the Loan Amount, along with applicable GST, shall be deducted upfront.

2.3 In the event of default, the Borrower shall be liable to pay **penal interest at 4% per month** over and above the applicable interest rate.

3. REPAYMENT TERMS

3.1 The Loan shall be repaid in **36 (Thirty-Six) equated monthly installments (EMIs)** of INR 6,050/- each.

3.2 EMIs shall be payable on or before the **5th day of every calendar month**, commencing from the month immediately succeeding the disbursement.

3.3 Any delay beyond **3 (three) days** shall constitute a **material breach** of this Agreement.

4. SECURITY & COLLATERAL

4.1 The Loan is secured by:

- Hypothecation of movable assets including, but not limited to, household appliances and business inventory.
- A **personal guarantee** of the Borrower.

4.2 The Lender shall have the irrevocable right to **seize, repossess, and liquidate** the secured assets without prior judicial intervention upon default.

5. PREPAYMENT & FORECLOSURE

5.1 Prepayment shall be permitted only after completion of **12 EMIs**, subject to a **foreclosure charge of 6%** on the outstanding principal.

5.2 No refund of interest or charges shall be applicable upon early closure.

6. EVENTS OF DEFAULT

The following shall constitute an **Event of Default**:

- a) Failure to pay any EMI within the stipulated time
- b) Misrepresentation or concealment of material facts
- c) Borrower becoming insolvent or bankrupt
- d) Use of loan proceeds for unlawful purposes

Upon occurrence of an Event of Default, the Lender may, at its sole discretion, **recall the entire outstanding amount immediately**.

7. CROSS-DEFAULT

Default under this Agreement shall automatically trigger a default under **any other financial arrangement** entered into by the Borrower with the Lender or its affiliates.

8. GOVERNING LAW & JURISDICTION

This Agreement shall be governed by and construed in accordance with the **laws of India**. The courts at **Kolkata** shall have exclusive jurisdiction.

9. WAIVER & SEVERABILITY

9.1 Failure by the Lender to enforce any provision shall not constitute a waiver.

9.2 If any provision is held invalid, the remaining provisions shall continue in full force.

10. ENTIRE AGREEMENT

This Agreement constitutes the **entire understanding** between the Parties and supersedes all prior oral or written communications.

IN WITNESS WHEREOF

The Parties have executed this Agreement on the date first written above.

For ABC Microfinance Services Pvt. Ltd.

Authorized Signatory: _____

Borrower

Signature: _____